TABLE 25.2 (*Continued*)

Question 2: Assume that from 1926 through 2009, the compound annual return for equities was approximately 9 percent. In any given year, what returns do you expect your equity investments to produce?

a. Below 9 percent
b. About 9 percent
c. Above 9 percent
d. Well above 9 percent

Question 3: How much ability do you believe you have in picking investments that will outperform the market?

a. Absolutely no ability
b. Little if any ability
c. Some ability
d. A fair amount of ability

Scoring Guidelines: Answering "a" or "b" in Question 1, answering "c" or "d" in Question 2, or answering "c" or "d" in Question 3 indicates susceptibility to overconfidence bias.

Self-Control Bias Diagnostic Test

Question 1: Suppose that you are in need of a new automobile. You have been driving your current car for seven years, and it's time for a change. Which of the following approaches are you most likely to take?

a. I would typically "underspend" on a car because I view a car as transportation and I don't need anything fancy. Besides, I can save the extra money I might have spent on a fancy car and put it away in my savings accounts.
b. I would typically purchase a medium-priced model, with some fancy options, simply because I enjoy a nice car. I may forgo other purchases in order to afford a nice car. I would not purchase anything extravagant, but a nice car is something that I value to an extent and am willing to spend money to obtain.
c. When it comes to cars, I like to indulge myself. I'd probably splurge on a top-of-the-line model and select most or all available luxury options. Even if I must purchase this car at the expense of saving money, for the long term, I believe that it's vital to "live in the moment." This car is simply my way of living in the moment.

Question 2: How would you characterize your retirement savings patterns?

a. I consult my advisors and make sure that every tax-favored investment vehicle is "maxed out" (e.g., 401(k), IRA), and I will often save additional funds in taxable accounts.
b. I will usually take advantage of most tax-favored investment vehicles, though in some cases I'm sure that details may have escaped my attention. I may or may not save something in taxable investment accounts.
c. I hardly ever save for retirement. I spend most of my disposable income, so very little remains available for savings.

Scoring Guidelines: People answering "b" or "c" to Questions 1 and 2 may be susceptible to self-control bias. Lack of self-control is very common.